

company” like Newport could go. Later that year, the stock eventually topped out at \$570 per share!

I have tried to do that type of investing throughout the fund’s life—looking for companies that are somewhat obscure, not covered by Wall Street, or have a niche business inside the company that no one is focusing on. I use the smallness of the fund to my advantage. I can go down to smaller cap values that the larger funds can’t look at.

What cap range do you focus on?

I am pretty agnostic in terms of capitalization levels. I can go big or small. It is really value that drives my interest. My focus is on buying a company at a discount to intrinsic value, which can be measured in a lot of different ways depending on the business. Market cap is not a factor.

Since you are agnostic about market cap, you must have a very large investment universe.

About 10,000 stocks.

How do you select stocks from such a large list?

I use Compustat and Zacks to screen their lists of U.S. and Canadian stocks.

What metrics do you use to screen for stocks that may be of interest?

The accounting for financial companies is quite different from that of nonfinancial companies, so I use different screens for each. For nonfinancial companies, I use some of the following:

- *Enterprise value/EBITDA*—Enterprise value (EV) is equal to the company’s market cap (the number of shares outstanding times the share price) plus all long-term liabilities (debt and preferred stock outstanding, as well as underfunded pension funds) minus cash. The enterprise value is the amount one would have to pay to acquire the entire business. EBITDA, earnings before interest, taxes, depreciation, and amortization, is a measure of the amount of cash flow the business produces annually. The ratio measures what you are paying relative to what you are getting. I look for companies trading at low multiples of EBITDA.